



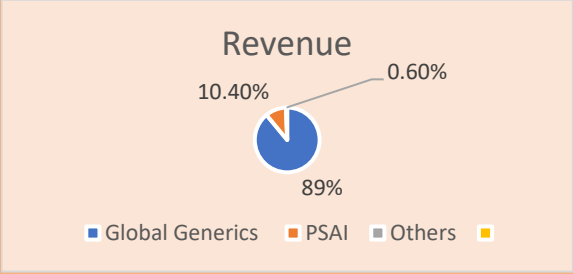
Dr.Reddy’s Laboratories
EST: 1984 FOUNDED: 1984, HQ Hyderabad.

NSE: DRREDDY
NYSE: RDY (ADR)

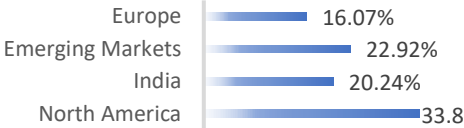
\$13.45 CURRENT PRICE	\$12.39 DCF TARGET PRICE	-8% POTENTIAL UP/DOWNSIDE	~\$11.2B MARKET CAPE	\$0.08 / SHARE DIVIDEND SHARE	~\$11.0B ENTERPRISE VALUE
--------------------------	-----------------------------	------------------------------	-------------------------	----------------------------------	------------------------------

COMPANY OVERVIEW

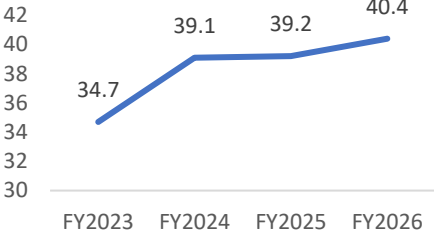
Dr. Reddy’s Laboratories Ltd. is an Indian multinational pharmaceutical company headquartered in Hyderabad, with U.S. offices in East Brunswick, New Jersey. Founded in 1984 by **Kallam Anji Reddy** as an API manufacturer. Total consolidated revenue was ~\$3,580 million, The company produces over 190 medications and 60 active pharmaceutical ingredients.



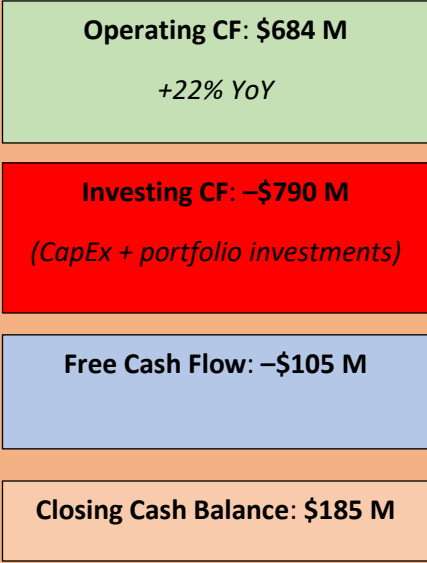
REVENUE BY GEOGRAPHY (%)
FY-2026



Revenue Trend (\$ B)



CASH FLOW STATEMENT
FY- 2026



₹335,933 Cr
+3.2% YoY
FY2026 Revenue

₹76,595 Cr
EBITDA
22.8% Margin

\$2.17 Billion
R&D Spend
~5.4% of Revenue

~20%
Debt/Equity Ratio ↑ from ~14% in FY2025

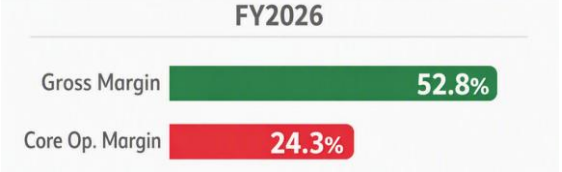
DCF VALUATION MODEL

Revenue CAGR (FY24–FY26) 3- 4%	Risk free rate (RF) 7.15%	Beta (B) 0.51–0.63
Terminal Growth(g) 3–4%	Equity Risk Premium 8.8%	Cost of Equity (CAPM) ≈12.45%
WACC ≈11.6%	After-Tax Cost of Debt ≈7.5%	

INCOME STATEMENT FY24 - 26 (\$ M)

Item	FY2024 (\$ M)	FY2025 (\$ M)	FY2026 (\$ M)
Revenue	3,268	3,811	3,580
Cost of Sales	1,353	1,581	1,691
Gross Profit	1,915	2,229	1,889
R&D Expenses	268	320	256
Operating Profit	793	841	539
Core Op. Profit	1,162	841	539
Net Profit	652	670	453

KEY MARGINS:



BALANCE SHEET FY-2026 (\$ M)

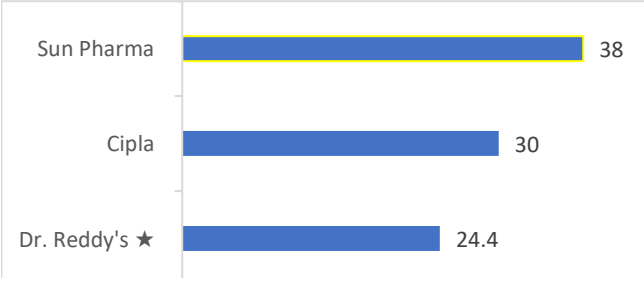
ASSETS	LIABILITIES & EQUITY
Total-\$5.25 billion	\$5.25 billion
CURRENT ASSETS \$2.23 billion	CURRENT LIABILITIES \$1,342 M
PP&E \$934 M	LONG TERM DEBT ~\$950M
GOODWILL \$10 M	OTHER LIABILITIES \$132 M
INTANGIBLE ASSETS \$348 M	SHAREHOLDERS EQUITY \$3,778 M
OTHER ASSETS (Investments, Loans, Other financial assets, etc.) \$1,488 M).	SHORT TERM BORROWING - ~₹59,135M, total debt = \$950M
	TOTAL EQUITY - = \$4.6B

FINANCIAL RATIO ANALYSIS

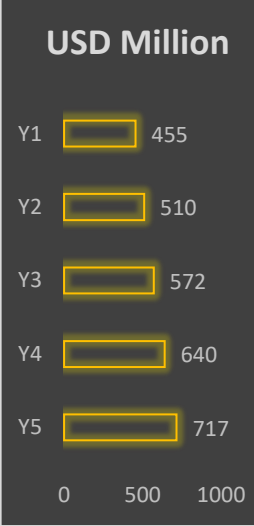
(Peer margin definitions may vary by source; figures are directionally comparable, not precisely normalized)

METRICS	Dr REDDY's	PFIZER	SIGNAL
PROFITABILITY			
Gross Margin	52.80%	80.30%	Low
Core Op. Margin	15.00%	25.30%	Low
Net Margin	12.60%	19.70%	Low
ROE	11.80%	13.70%	Low
ROA	7.40%	10.60%	Low
LIQUIDITY			
Current ratio	1.80%	2.82%	WATCH
Quick ratio	1.35%	n\ a	OK
LEVERAGE			
Debt / equity	20.00%	0.06	High
Interest cover	13.6*	43.7*	Low
VALUATION			
P/E ratio	24.4*	38*	Cheap
EV/EBITDA	14*	22*	Disc

P/E vs Peers — lower = Cheaper



PROJECTED CF \$ M
5 year forecast



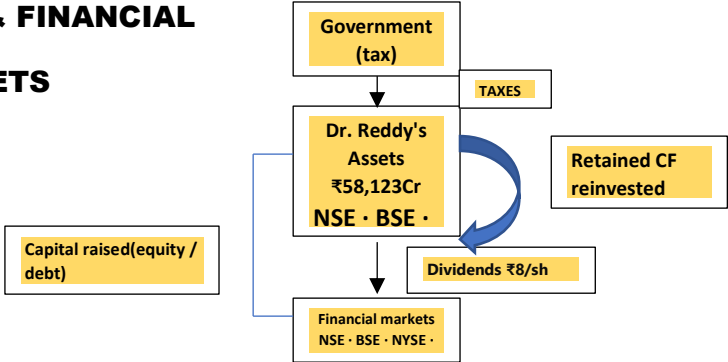
INTRINSIC VALUE PER SHARE

₹1,177
-8% vs current ₹1,278
Enterprise Value ₹1,04,425 Cr

LATE STAGE PIPELINE

Abatacept biosimilar	BLA filed	First globally, USFDA
HLX15 (daratumumab)	Phase 1 done	With Henlius
Pembrolizumab biosimilar	Co-development	With Alvotech
Toripalimab (Zytorvi)	Launched	21 countries
Rituximab biosimilar	Launched	Across Europe
Obeda (semaglutide)	Launched India	Phase 3 done

FIRM & FINANCIAL MARKETS



COMPETITIVE POSITIONING VS PEERS

Company	Rev (\$B)	P/E (x)	Div Yield (%)	D/E (%)	Mkt Cap (\$B)
Dr. Reddy’s	~4.3	~22	~0.9	~20	~11.5
Sun Pharma	~7.2	~38	~0.8	~30	~55
Cipla	~3.4	~33	~0.6	~25	~14
Lupin	~3.6	~28	~0.7	~40	~10

Dr. Reddy’s sits mid-scale, with a lower P/E multiple, suggesting a relative valuation discount.

KEY RISKS TO MONITOR

U.S. Generics Pricing Pressure Heavy reliance on the U.S. market means continued price erosion could compress margins and slow revenue growth.	Regulatory & Compliance Risk FDA inspections and approvals are critical; any warning letters or delays in biosimilar filings (e.g., abatacept, pembrolizumab) could derail pipeline timelines.
Pipeline Execution Risk Late-stage assets (semaglutide, biosimilars, oncology programs) carry clinical and commercialization uncertainty. Failure to launch or slower adoption would weaken growth projections.	Currency & Emerging Market Exposure Significant revenue from India, Russia, and emerging markets exposes earnings to FX volatility and geopolitical risks.

INVESTMENT THESIS – WHY BUY?

Pipeline Catalysts

Pipeline expected to lift top line from \$4.3B (FY26) toward \$5.9B+ by FY30.

Deleveraging

Despite equity growth, leverage rose modestly to ~20% in FY2026 due to higher short-term borrowings, with equity still forming ~83% of the capital structure.

Strong Balance Sheet

Equity base of \$3.78B (~72% of capital structure), Debt-to-Equity ~0.35, with long-term debt only \$132M.

FCF Recovery

Free cash flow projected to grow from \$455M (Y1) to \$717M (Y5), CAGR ≈ 11.9%, showing strong cash generation capacity to fund R&D and shareholder returns.